Trustee Savings Banks Act 1978

1978 CHAPTER 16

An Act to clarify and amend the law with respect to investment and borrowing by trustee savings banks.
[30th June 1978]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Investment powers of trustee savings banks.

1.—(1) It is hereby declared for the avoidance of doubt that a trustee savings bank has power, subject to the investment requirements of the Trustee Savings Banks Acts and to any rules of the bank, to invest its funds in assets of any description whatsoever (including loans, whether temporary or otherwise and whether secured or unsecured).

(2) The power mentioned in subsection (1) above applies to moneys deposited with a trustee savings bank which are not required to be invested with the National Debt Commissioners in accordance with section 12(1) of the Act of 1969, as well as to any of the bank's other funds (and has so applied ever since section 12(1) of the Act of 1976 excluded deposits in a current account from being required to be so invested).

(3) Any loan on real security made by a trustee savings bank before the passing of this Act shall be deemed to have been validly made (without prejudice to whether or not it would be valid apart from this provision).

(4) No person taking a loan on real security from a trustee savings bank after the passing of this Act or dealing with the security for any such loan or with the subject matter of any such security shall be bound to enquire as to compliance by the bank in relation to the loan with any of the investment requirements of the Trustee Savings Banks Acts or with the rules of the bank.

(5) In this section—

"the investment requirements of the Trustee Savings Banks Acts" means the provisions of sections 12(1), 32 and 33 of the Act of 1969 and of section 13 of the Act of 1976 and any direction of the Trustee Savings Banks Central Board under section 1(3)(*d*) of the Act of 1976 with respect to the manner in which trustee savings banks are to invest their funds; and

"loan on real security" means any loan secured by a mortgage of or charge on any land (within the meaning of the Act of 1969) or, in Scotland, by a heritable security within the meaning of section 9(8) of the Conveyancing and Feudal Reform (Scotland) Act 1970. 1970 c. 35.

Duty to invest with National Debt Commissioners (and description "ordinary deposits") confined to certain deposits in savings accounts.

2.—(1) Section 12 of the Act of 1969 shall have effect with the insertion after subsection (1) of the following subsection—

"(1A) Notwithstanding the provisions of subsection (1) above the trustees of a trustee savings bank may, if the rules of the bank so provide, receive any sum of money from a depositor on terms that it shall not be required to be invested in accordance with that subsection".

(2) It is hereby declared for the avoidance of doubt that the effect of section 12(1) of the Act of 1976 is to exclude deposits in a current account with a trustee savings bank from being deposits for investment with the National Debt Commissioners under subsection (1) of section 12 of the Act of 1969 within the meaning of subsection (3) of that section (and accordingly to exclude them from being "ordinary deposits" within the meaning of the Act of 1969).

(3) In section 14(1) of the Act of 1969 and in section 28(1) of that Act, as amended by paragraph 11(*a*) of Schedule 5 to the Act of 1976, for the words "savings account" there shall be substituted the word "ordinary".

(4) In section 12(3) of the Act of 1976, for the words "savings account deposits" there shall be substituted the words "ordinary deposits (within the meaning of the Act of 1969)".

(5) In section 16(4) of the Act of 1976 the words "in respect of the savings account deposits of that bank" shall be omitted.

(6) Any amendment made by this section in any provision of the Act of 1969—

(*a*) shall be deemed to have had effect from the time when section 12(1) of the Act of 1976 came into operation; and

(*b*) shall cease to have effect when the provision amended ceases to have effect.

Power of trustee savings bank to borrow.

3. The Act of 1976 shall have effect, and be deemed to have had effect from the time when section 9 of that Act came into operation, as if the following section were inserted after that section—

"Power to borrow.

9A.—(1) A trustee savings bank may borrow money from any source whatsoever with the approval of the Central Board.

(2) The approval of the Central Board may be given for the purposes of subsection (1) above either generally, in relation to borrowing by trustee savings banks of any description (whether by reference to the amount to be borrowed or the purpose of the borrowing or otherwise) or in relation to any particular borrowing proposed by a trustee savings bank.

(3) The acceptance by a trustee savings bank of deposits of money in the ordinary course of carrying on its business shall not require the approval of the Central Board under this section.

(4) A trustee savings bank may not give security for the repayment of any sum lent to the bank or for the payment of any sums payable by way of interest on any such sum.

(5) A certificate signed by the chief officer or deputy chief officer of the Central Board stating that any borrowing undertaken or proposed by a trustee savings bank has the approval of the Board shall be conclusive evidence thereof for all purposes.".

Application to Isle of Man and Channel Islands.

4.—(1) This Act shall extend to the Isle of Man and the Channel Islands and shall have effect in those islands subject to such adaptations and modifications as Her Majesty may by Order in Council specify.

(2) Any Order in Council made under subsection (1) above may be varied or revoked by a subsequent Order in Council so made.

5.—(1) This Act may be cited as the Trustee Savings Banks Act 1978.

Citation, interpretation, repeals and extent.

(2) The Trustee Savings Banks Acts 1969 and 1976 and this Act may be cited together as the Trustee Savings Banks Acts 1969 to 1978.

(3) In this Act—

"the Act of 1969" means the Trustee Savings Banks Act 1969; 1969 c. 50.

"the Act of 1976" means the Trustee Savings Banks Act 1976; and 1976 c. 4.

"trustee savings bank" means a bank certified under the Act of 1969, the Trustee Savings Banks Act 1954 or the Trustee Savings Banks Act 1863. 1954 c. 63. 1863 c. 87.

(4) The enactments mentioned in the Schedule to this Act (which include enactments which are spent or no longer required) are hereby repealed to the extent specified in the third column of the Schedule.

(5) It is hereby declared that this Act extends to Northern Ireland.

Section 5.

SCHEDULE

Enactments Repealed

Chapter	Short title	Extent of repeal
1976 c. 4.	The Trustee Savings Banks Act 1976.	In section 12, in subsection (1) the words " as ordinary deposits ", and subsection (2). In section 16, subsection (3) and in subsection (4) the words " in respect of the savings account deposits of that bank ". In section 35(1) the definitions of " current account deposit " and " savings account deposit ". In Schedule 3, in paragraph 22 the words from " (including " to " bank) ".